KESTRION SOFTWORKS

Employee Handbook

Leave Policy & Reimbursement Policy

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1. Introduction and Scope

This document sets out the Leave Policy and Reimbursement Policy applicable to all permanent, full-time employees of Kestrion Softworks Private Limited (referred to as "Kestrion Softworks" or "the Company") across all office locations, including Meridian Campus (Pune), Harrow Point (Bengaluru), and the Company's registered remote-work roster. This policy does not apply to interns, consultants engaged on a project basis, or third-party contractors, unless their engagement letter explicitly states otherwise.

The purpose of this handbook section is to provide employees with a single, authoritative reference for how leave is accrued, requested, and approved, and how eligible business expenses are reimbursed. Any clause in a prior version of this handbook, or in an informal team-level practice, that conflicts with this document is superseded by this version as of the effective date on the cover page.

This policy is reviewed annually by the People & Culture Department in consultation with the Finance Department and may be amended at the Company's discretion, with a minimum of thirty (30) days' notice to employees prior to any change that reduces an existing entitlement.

1.1 Who This Policy Covers

- All employees on the permanent payroll of Kestrion Softworks, including those on probation.
- Employees on approved remote or hybrid work arrangements under the Flexible Work Charter (KSW-HR-POL-009).
- Employees based at any of the Company's current or future office locations within India.

1.2 Policy Administration

The Leave and Reimbursement Policy is administered jointly by the People & Culture Department (for leave matters) and the Finance Shared Services team (for reimbursement matters). Questions that are not resolved by this document should be routed through the internal HR Service Desk ticketing system under the category "Leave & Reimbursement Queries".

2. Definitions

For the purposes of this policy, the following terms carry the meanings given below.

Term	Definition
Leave Year	The 12-month period from 1 April to 31 March, aligned with the Company's financial year.
Working Day	Any day that is not a weekly off (Saturday/Sunday) or a declared public holiday at the employee's base
Reporting Manager	The employee's immediate supervisor as recorded in the HR Information System (Nimbus HRIS).
Second-Level Approver	The Reporting Manager's own manager, required for approvals exceeding the Reporting Manager's au
Eligible Expense	A business expense incurred by an employee that falls within the categories defined in Sections 15–20
Advance	A pre-approved sum disbursed to an employee ahead of an anticipated business expense, to be settle

3. Leave Policy Overview

Kestrion Softworks provides a structured leave framework designed to support employee wellbeing while ensuring predictable team coverage. The Company recognizes seven categories of leave, summarized below. Detailed rules for each category follow in Sections 4 through 10.

Leave Type	Annual Entitlement	Accrual Basis
Casual Leave (CL)	12 days	1 day per completed month
Sick Leave (SL)	10 days	Credited in full at start of Leave Year
Earned / Privilege Leave (EL)	18 days	1.5 days per completed month
Maternity Leave	182 days (26 weeks)	One-time, per eligible event
Paternity Leave	15 days	One-time, per eligible event
Bereavement Leave	5 days per event	As needed, non-accrued
Sabbatical Leave	Up to 90 days (unpaid, after 3 yrs service)	Approval-based, non-accrued

In addition to the above, employees may avail Compensatory Off (Comp-Off) for approved work performed on a weekly off or public holiday, as described in Section 10.

3.1 General Principles

- All leave (other than Sick Leave and emergency Bereavement Leave) must be applied for in advance through the Nimbus HRIS portal.
- Leave is granted subject to business exigency; a Reporting Manager may decline or reschedule a requested leave date with written justification.
- Unless otherwise stated, leave does not accrue during any period of unpaid leave or suspension.
- Public holidays and weekly offs falling within a leave block are not counted against the employee's leave balance.

4. Casual Leave

Casual Leave (CL) is intended for short-notice personal matters, such as a family errand, a minor personal emergency, or a planned short absence that does not qualify as Earned Leave.

4.1 Entitlement and Accrual

Employees are entitled to 12 days of Casual Leave per Leave Year, accrued at the rate of 1 day for each completed calendar month of service. An employee joining mid-year receives a pro-rated entitlement calculated from their date of joining.

4.2 Rules

- Casual Leave may be availed for a maximum of 3 consecutive working days at a time without conversion to Earned Leave.
- Casual Leave cannot be combined with Earned Leave to extend a vacation beyond 3 consecutive days without prior written approval from the Second-Level Approver.
- Casual Leave does not carry forward to the next Leave Year and lapses on 31 March.
- Casual Leave cannot be encashed under any circumstance.
- Half-day Casual Leave may be availed, subject to Reporting Manager approval, in increments of a morning or afternoon half.

4.3 Notice Period

Employees should apply for Casual Leave at least 1 working day in advance wherever possible. Same-day Casual Leave requests are permitted but must be communicated to the Reporting Manager before the start of the employee's standard working hours, followed by a formal application on the same day.

5. Sick Leave

5.1 Entitlement

Employees are credited with 10 days of Sick Leave at the start of each Leave Year, regardless of date of joining within that year (subject to pro-ration for employees joining after 1 October, who receive 5 days for that partial year).

5.2 Medical Certification

A medical certificate from a registered medical practitioner is required for any Sick Leave spanning 3 or more consecutive working days. For absences of 1–2 days, a self-certification submitted through the Nimbus HRIS portal is sufficient, though the Company reserves the right to request supporting documentation in cases of a recurring pattern.

5.3 Carry-Forward

Up to 5 unused Sick Leave days may be carried forward to the following Leave Year, subject to a maximum accumulated Sick Leave balance of 20 days at any point in time. Sick Leave beyond this cap is forfeited at year-end.

5.4 Conversion from Other Leave Types

If an employee falls ill while availing Casual Leave or Earned Leave, they may apply to have the affected days reclassified as Sick Leave, provided a valid medical certificate is submitted within 5 working days of returning to work.

6. Earned (Privilege) Leave

6.1 Entitlement and Accrual

Earned Leave (EL), also referred to as Privilege Leave, accrues at the rate of 1.5 days for each completed calendar month of service, totaling 18 days in a full Leave Year. Earned Leave is intended for planned vacations and extended personal time off.

6.2 Carry-Forward and Encashment

- A maximum of 30 Earned Leave days may be carried forward to the following Leave Year.
- Earned Leave balances exceeding 45 days at any point are automatically encashed for the excess, at the employee's current basic daily salary rate, in the following payroll cycle.
- Employees may voluntarily encash up to 10 Earned Leave days per Leave Year, subject to maintaining a minimum residual balance of 5 days.
- Upon resignation or termination, all unused Earned Leave (up to the 30-day carry-forward cap) is encashed as part of full and final settlement.

6.3 Advance Booking

Earned Leave for 5 or more consecutive working days must be applied for at least 15 working days in advance to allow for workload planning. Leave requests submitted with shorter notice may be approved at the Reporting Manager's discretion based on team coverage.

6.4 Leave During Notice Period

Employees serving a notice period may avail Earned Leave only with explicit written approval from both the Reporting Manager and the People & Culture Business Partner, and such leave does not extend the notice period unless separately agreed.

7. Maternity and Paternity Leave

7.1 Maternity Leave

Eligible employees are entitled to 182 days (26 weeks) of paid Maternity Leave for the first two children, in line with applicable statutory requirements. For a third or subsequent child, the entitlement is 84 days (12 weeks). Up to 56 days of Maternity Leave may be availed before the expected date of delivery, with the remainder taken post-delivery.

7.2 Paternity Leave

Eligible employees are entitled to 15 working days of paid Paternity Leave, to be availed within 6 months of the child's date of birth or the date of legal adoption. Paternity Leave may be split into a maximum of 2 blocks.

7.3 Adoption and Surrogacy Leave

An employee who legally adopts a child below the age of 3 months, or a commissioning mother in a surrogacy arrangement, is entitled to 84 days (12 weeks) of paid leave from the date the child is handed over.

7.4 Eligibility Conditions

- The employee must have completed at least 80 working days with the Company in the 12 months immediately preceding the expected leave.
- Maternity and Paternity Leave applications must be submitted with supporting medical documentation at least 30 days in advance where the timeline is foreseeable.
- Return-to-work flexibility (reduced hours for up to 4 weeks) is available on request following Maternity Leave, subject to role requirements.

8. Bereavement Leave

Employees are entitled to 5 days of paid Bereavement Leave per qualifying event, in the case of the death of an immediate family member, defined as spouse, child, parent, sibling, parent-in-law, or grandparent.

8.1 Application

Bereavement Leave does not require advance notice and may be applied for retroactively within 10 working days of the event. No medical or death certificate is required at the time of application, though the Company reserves the right to request documentation for record-keeping purposes.

8.2 Extended Bereavement Circumstances

In exceptional circumstances requiring travel to a distant location for funeral rites, an employee may request up to 3 additional days, to be drawn from their Casual Leave or Earned Leave balance, subject to Reporting Manager approval.

9. Sabbatical Leave

Employees with a minimum of 3 years of continuous service with Kestrion Softworks are eligible to apply for Sabbatical Leave of up to 90 calendar days. Sabbatical Leave is unpaid and does not accrue any other leave type during its duration, though statutory benefits such as group medical insurance continue uninterrupted.

9.1 Eligible Reasons

- Pursuing a short-term academic program or certification directly relevant to the employee's career path.
- Caregiving responsibilities not covered under Maternity, Paternity, or Bereavement Leave.
- Personal development, including extended travel, subject to the Company's discretion.

9.2 Application and Approval

Sabbatical Leave requests must be submitted at least 60 days in advance via the Nimbus HRIS portal, along with a written justification. Approval requires sign-off from the Reporting Manager, the Second-Level Approver, and the People & Culture Department. The Company guarantees the employee's role or an equivalent role upon return, provided the employee resumes work within the approved window.

10. Compensatory Off

Employees required to work on a declared public holiday or a weekly off day, with prior written authorization from their Reporting Manager, are entitled to a Compensatory Off (Comp-Off) day.

10.1 Accrual and Validity

- 1 Comp-Off day is credited for each full day worked on a holiday or weekly off; a half-day worked credits 0.5 Comp-Off days.
- Comp-Off must be availed within 60 calendar days of the date it was earned, after which it lapses automatically.
- Comp-Off cannot be encashed and does not carry forward beyond the 60-day validity window.

10.2 Request Process

Comp-Off is logged automatically in the Nimbus HRIS once the Reporting Manager confirms the employee's attendance on the holiday or weekly off. The employee may then book the Comp-Off day like any standard leave request, subject to the 60-day validity rule.

11. Public Holidays

Kestrion Softworks observes a list of public holidays declared annually by the People & Culture Department, published on the internal portal no later than 15 December of the preceding year. The Company observes a minimum of 10 and a maximum of 14 public holidays per Leave Year, depending on the employee's base location, in compliance with applicable state-level regulations.

11.1 Restricted Holidays

In addition to fixed public holidays, employees may select up to 2 Restricted Holidays per Leave Year from a list of regional and cultural observances published alongside the fixed holiday calendar. Restricted Holidays must be declared at least 3 working days in advance and are treated as a form of Casual Leave for accounting purposes if not pre-declared.

11.2 Illustrative Holiday Calendar (Pune Office, Sample Year)

Date	Holiday	Type
26 January	Republic Day	Fixed
Mar/Apr (varies)	Spring Festival	Fixed
15 August	Independence Day	Fixed
2 October	Founders' Remembrance Day	Fixed
Oct/Nov (varies)	Festival of Lights	Fixed (2 days)
25 December	Winter Holiday	Fixed
Variable	Regional Festival of Choice	Restricted (up to 2)

12. Leave Application and Approval Workflow

12.1 Standard Workflow

All leave requests (except emergency Sick Leave and Bereavement Leave) follow a standard three-step workflow within the Nimbus HRIS platform:

- Step 1 — Employee submits a leave request specifying leave type, duration, and reason.
- Step 2 — Reporting Manager reviews and approves, rejects, or requests modification within 2 working days.
- Step 3 — For leave exceeding 10 consecutive working days, the request is auto-routed to the Second-Level Approver for final sign-off.

12.2 Auto-Escalation

If a Reporting Manager does not act on a leave request within 2 working days, the request is automatically escalated to the Second-Level Approver, and the employee is notified of the escalation via the Nimbus HRIS notification system.

12.3 Leave Cancellation and Modification

Employees may cancel or modify an approved leave request up to 1 working day before the leave start date without additional approval. Changes requested on or after the leave start date require fresh Reporting Manager approval.

12.4 Leave During Notice or Probation

Employees on probation may avail Casual Leave and Sick Leave on a pro-rated basis but are not eligible to avail Earned Leave until successful confirmation of employment, except in documented medical emergencies.

13. Leave Encashment and Carry-Forward Rules — Summary

Leave Type	Carry-Forward Cap	Encashable?	Lapses At Year-End?
Casual Leave	0 days (no carry-forward)	No	Yes
Sick Leave	Up to 5 days (cap: 20 accumulated)	No	Beyond cap only
Earned Leave	Up to 30 days	Yes (up to 10/year voluntary)	Beyond cap only
Comp-Off	N/A (60-day validity)	No	After 60 days
Maternity/Paternity	N/A (one-time)	No	N/A

All carry-forward and encashment calculations are processed automatically by the Nimbus HRIS at the close of each Leave Year (31 March) and reflected in the April payroll cycle where applicable.

14. Reimbursement Policy Overview

Kestrion Softworks reimburses employees for legitimate, pre-approved business expenses incurred in the course of their duties. This section (14–23) governs all reimbursement categories, submission timelines, approval authority, and tax treatment.

14.1 General Principles

- All reimbursement claims must be supported by original receipts or digital invoices showing vendor name, date, and itemized amount.
- Claims must be submitted within 30 calendar days of the expense being incurred; claims submitted after 60 days are not eligible for reimbursement except with Finance Director approval.
- Reimbursements are processed through the Kestrion Expense Portal and disbursed along with the next regular payroll cycle following approval, or via a separate reimbursement cycle for claims exceeding ■25,000.
- Personal expenses, fines, penalties, or expenses incurred due to non-compliance with Company travel policy are not reimbursable.

15. Travel Reimbursement

15.1 Domestic Travel

Employee Band	Air Travel Class	Rail Class	Hotel Cap (per night)
Band A–B (Associate/Senior Associate)	Economy	AC 2-Tier	■5,500
Band C–D (Manager/Senior Manager)	Economy (Premium for >3 hr flights)	AC 1st Class	■8,000
Band E and above (Director+)	Business (for >4 hr flights)	AC 1st Class	■12,000

15.2 Local Conveyance

Local conveyance for business purposes (client visits, inter-office travel) is reimbursed at actuals against a valid receipt, or at ■14 per kilometer for employees using a personal vehicle, whichever the employee selects for a given trip. Ride-hailing app receipts are accepted without additional approval for amounts under ■1,500 per trip.

15.3 International Travel

International travel requires pre-approval from the Second-Level Approver and the Finance Controller at least 10 working days before departure. A per-diem allowance is provided based on destination country tier, ranging from USD 60 to USD 120 per day, covering incidentals not otherwise reimbursed.

16. Meal and Per-Diem Reimbursement

16.1 Domestic Per-Diem

City Category	Daily Meal Allowance
Category A (Pune, Bengaluru, Mumbai, Delhi NCR)	■1,200
Category B (Other metro and Tier-1 cities)	■900
Category C (Tier-2 and Tier-3 locations)	■650

16.2 Client Entertainment

Business meals with external clients or partners are reimbursed at actuals up to ■3,000 per person per meal, with prior intimation to the Reporting Manager and a note identifying attendees and business purpose on the expense claim.

16.3 Overtime Meal Allowance

Employees required to work beyond 9:00 PM on a working day are eligible for a one-time overtime meal allowance of ■400, claimable through the standard expense portal with a timestamp-based system log as supporting evidence.

17. Internet and Mobile Reimbursement

Employees in roles requiring regular remote connectivity are eligible for a monthly internet and mobile reimbursement, credited automatically without the need for a monthly claim, subject to an annual declaration.

Employee Band	Monthly Internet Allowance	Monthly Mobile Allowance
Band A–B	■800	■500
Band C–D	■1,200	■800
Band E and above	■1,500	■1,200

This allowance is paid as a fixed monthly credit and does not require submission of individual bills, though employees must retain proof of an active connection for audit purposes for a period of 1 year.

18. Relocation Reimbursement

Employees relocating at the Company's request (inter-city transfer) or as part of a new-hire offer specifying relocation support are eligible for the following one-time reimbursements, claimable within 90 days of the relocation date.

- Packing and moving of household goods: actuals up to ■60,000, against 2 competitive quotes from Company-empanelled vendors.
- Temporary accommodation: up to 15 days at the applicable hotel cap under Section 15.1.
- One-time settling-in allowance: ■15,000, paid without receipts.
- Travel for the employee and immediate dependents: as per Section 15.1 entitlement for the employee's band.

A relocation reimbursement is subject to a 12-month service bond; an employee who resigns within 12 months of relocation is required to refund the relocation amount on a pro-rated basis.

19. Medical Reimbursement

In addition to the Company's group medical insurance (covered under a separate policy, KSW-HR-POL-021), employees may claim reimbursement for specific out-of-pocket medical expenses not covered by insurance.

Category	Annual Cap
Annual health check-up (self)	■5,000, fully reimbursed
Prescription eyewear / contact lenses	■4,000 once every 2 years
Dental procedures (non-cosmetic)	■10,000
Ergonomic medical devices (on doctor's advice)	■8,000

All medical reimbursement claims require a prescription or recommendation from a registered medical practitioner along with the original receipt.

20. Wellness and Home-Office Equipment Reimbursement

20.1 Wellness Allowance

All confirmed employees are eligible for an annual Wellness Allowance of ■12,000, covering gym memberships, fitness classes, mental health counseling sessions, or approved wellness apps. This allowance resets each Leave Year and does not carry forward.

20.2 Home-Office Equipment

Employees on an approved remote or hybrid work arrangement are entitled to a one-time Home-Office Setup Allowance of ■25,000 for furniture (desk, chair) and a recurring ■10,000 allowance every 3 years for peripherals (monitor, keyboard, headset).

- Equipment purchased under this allowance remains Company property if valued above ■15,000 and must be returned or bought out at depreciated value upon separation.
- Claims require itemized receipts and are processed within 1 payroll cycle of approval.

21. Reimbursement Submission Process

21.1 Step-by-Step Process

- Step 1 — Log in to the Kestrion Expense Portal and select "New Claim".
- Step 2 — Choose the appropriate expense category (Travel, Meals, Medical, etc.) from Sections 15–20.
- Step 3 — Upload a clear scan or photograph of the original receipt; claims without supporting documentation are auto-rejected by the system.
- Step 4 — Add a brief business justification (1–2 sentences) describing the purpose of the expense.
- Step 5 — Submit for Reporting Manager approval; track status via the portal's "My Claims" dashboard.

21.2 Advances

For anticipated large expenses (e.g., international travel), employees may request an Advance through the same portal. Advances must be settled — with receipts submitted and any unspent balance returned — within 15 working days of the employee's return or the activity's completion. Unsettled advances beyond 30 days are recovered through payroll deduction.

22. Approval Limits and Escalation Matrix

Claim Amount	Primary Approver	Secondary Approver (if required)
Up to ■10,000	Reporting Manager	None
■10,001 – ■50,000	Reporting Manager	Second-Level Approver
■50,001 – ■2,00,000	Second-Level Approver	Finance Controller
Above ■2,00,000	Finance Controller	Finance Director

All approvals are logged within the Kestrion Expense Portal with a timestamped audit trail. Claims pending approval for more than 5 working days are automatically escalated one level up the approval chain.

23. Tax Treatment of Reimbursements

Reimbursements under this policy are treated for taxation purposes in accordance with prevailing income tax regulations at the time of disbursement. Employees should note the following general treatment, which is provided for informational purposes only and does not constitute tax advice:

- Travel, meal, and medical reimbursements supported by valid bills are generally treated as non-taxable perquisites up to prescribed limits.
- The fixed monthly internet and mobile allowance (Section 17) may be partially taxable depending on actual usage declarations.
- The one-time settling-in allowance (Section 18) and Wellness Allowance (Section 20.1) paid without receipts are typically treated as taxable income.
- Employees should consult the Finance Shared Services team or a personal tax advisor for specific guidance applicable to their individual tax situation.

24. Policy Violations and Consequences

Misrepresentation of leave reasons, submission of fraudulent or altered receipts, or claiming reimbursement for non-business expenses constitutes a violation of this policy and the Company's Code of Conduct.

24.1 Consequences

- First instance: Written warning and mandatory repayment of the disputed amount.
- Second instance: Formal disciplinary action in line with the Company's Disciplinary Policy (KSW-HR-POL-003), which may include suspension.
- Severe or repeated instances: Termination of employment and, where applicable, referral to legal authorities for fraud.

Employees who identify an error in their own favor (e.g., an accidental duplicate reimbursement) are expected to report it to Finance Shared Services within 10 working days; self-reported errors are corrected without disciplinary action.

25. Frequently Asked Questions

Q1. Can I take Earned Leave and Casual Leave together to extend a trip?

Yes, but only with prior written approval from your Second-Level Approver if the combined leave exceeds 3 consecutive days, as described in Section 4.2.

Q2. What happens to my unused Casual Leave at the end of the Leave Year?

Unused Casual Leave lapses on 31 March and cannot be carried forward or encashed, as described in Section 4.2 and summarized in Section 13.

Q3. I forgot to upload a receipt for a ■400 claim — can I still submit it?

No. All claims require a supporting receipt regardless of amount, as per Section 21.1. The Kestrion Expense Portal will not accept a claim without a valid upload.

Q4. Does Comp-Off expire?

Yes. Comp-Off must be availed within 60 calendar days of being earned, after which it lapses automatically, as described in Section 10.1.

Q5. Can I claim the Wellness Allowance for a family member's gym membership?

No. The Wellness Allowance under Section 20.1 covers the employee only and cannot be claimed for dependents or family members.

Q6. Who approves my leave if my Reporting Manager is on leave themselves?

The Nimbus HRIS automatically routes the request to your Reporting Manager's designated backup approver, configured in the system, or to the Second-Level Approver if no backup is set.

26. Revision History

Version	Date	Summary of Change
6.2	1 Apr 2026	Updated meal per-diem caps; added Section 20.2 Home-Office Equipment.
6.1	1 Oct 2025	Revised approval matrix thresholds in Section 22.
6.0	1 Apr 2025	Introduced Sabbatical Leave (Section 9) and Comp-Off validity cap.
5.3	1 Jan 2025	Minor clarifications to Maternity/Paternity eligibility conditions.
5.0	1 Apr 2024	Full policy restructure and renumbering.

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